

CIMA STRATEGIC CASE STUDY

MOCK EXAM 5 (FEBRUARY 2025)

EXAMPLE ANSWER



Example Answer for Task 1

Sub task 1 (a):

Arguments against removal of protestors

Legality of removal of protestors

Before we commit to their removal, we need to verify first if we would be permitted to do so in the first place. It is likely that this would only be permitted in case the protestors begin to trespass on our premises, but it would be illegal to remove them in the event that their protests are within legal limits.

Doing so it may result in legal action against us, which would completely tarnish our reputation in the market and result in share price drops as well.

Negative public opinion on Rotomyne

Aggressive removal can lead to negative media coverage and public opinion, damaging the company's reputation. As Rotomyne being one of the world's four largest lithium producers, negative perception of our actions as disregard for public opinion could cause further backlash and exposure onto domestic and global media platforms, damaging our reputation. The resulting reputation damage may lead to loss in clientele and drop in business, as well as a drop in share price which would disappoint our shareholders.

Complications with reliance on a 3rd party

Forceful removal could escalate protests, leading to more severe backlash and prolonged operational disruptions and could lead to another level where the protesters might also claim that our company tried to harm them and swipe them off, where the situation would get even worse and might lead to legal consequences as well.

As we would be employing a 3rd party security provider as per the suggestion, we would have limited control over their actions however, we would be expected to bear some responsibility in the event that the security had resorted to use excessive force and cause harm to anyone. This may lead to further reputational damage, and possible legal repercussions as well.

Community relations

Ignoring community concerns can lead to a loss of trust and long-term damage to relationships with local stakeholders, including government and residents, especially when we are operating in another country, community relationships is a key factor for longer term survival and continuation of operations in Rayland.

This might lead getting lack of support even from the Rayland's government for our operations if they think that we have been ignoring the concerns and damaging the environment even though We believe that we are compliant with all the local requirements.

Arguments for removal of protestors

Compliance with regulations

If our operations are fully [compliant with local regulations](#), we can argue that the [protests are unwarranted and disrupt legal business activities](#). Even though these protests are happening with some greater good in mind, it would make no sense for us to willingly scale down our business when we are [environmentally compliant with current regulations](#). In that sense, we have the complete authority to take actions and remove the protestors being confident on our operations.

Uninterrupted operations will resume

Removing the protestors will [allow operations to resume without delays, protecting jobs and the local economy dependent on our mining activities](#), since we have been already facing operational challenges, including [disruptions to our mining schedules and delayed shipments](#). If the protests continue to be there then [overall negative impact for the business will get even worse](#). We would face pressure from clients with regard to delayed shipments and [experience a drop in business and in turn revenues](#), if we are unable to resolve the current operational delays.

Safety Concerns

Protests can lead to [safety risks for workers and potentially escalate into more serious confrontations](#) as certain protestors may try to barge into the premises and may try to harm the workers and other equipment. Allowing a situation which carries this risk to continue would put both our employees and members of the public in danger, which would lead to further complications for us in the future. This would not be the case if the protests themselves were stopped immediately.

In conclusion, while we are within our rights to remove any trespassing protestors who invade our property, [we need to be very careful that we do not overstep our boundaries and violate their right to protest legally](#). Furthermore, it would be best to try to come up with a [more peaceful method](#) to remove the protestors instead of relying on a 3rd party provider.

Sub task 1 (b):

Demonstration of our commitment to environmental sustainability

To stop these protests in fair terms without taking any aggressive actions and also as a company which portray sustainability in operations, there are certain things that we could initiate to demonstrate our commitment as below.

Engage with stakeholders

We can [Initiate dialogues with local communities and environmental groups](#) to understand their concerns and demonstrate that we value their input and we could consider if those ideas are suitable to bring in and establish within the company. If we are able to identify pre-emptively what the community expects from us in terms of environmental impact and sustainability, [we would be able to identify dissatisfaction before it reaches to a peak and results in situations like these protests](#).

Further, having open discussion with the public and taking their considerations to mind would also help us reinforce our commitment to environmental sustainability.

Environmental Impact Assessment (EIA)

We may also commission an independent EIA to transparently assess the environmental impact of our operations and share the findings with the community so that we would be able to get the support of the local community by showing them that we act ethically and honestly. We would have to make sure that the assessment is in fact independent as well as publish the findings relative to industry standards and limits in order to establish that we are in fact compliant with all regulations and go above our means to maintain this level of compliance.

Invest in local communities

We can sponsor or implement (Corporate Social Responsibility) CSR practices and fund local environmental projects or initiatives, showing that we are committed to the well-being of the region and demonstrate our concern over our eco system so that it will help to paint a good picture of the company as a whole that we always support the local communities and responsible of our operations. Having a tangible commitment to environmental protection would further demonstrate our stance and position to sustainability.

Sustainable practices

By exploring innovative mining technologies and practices that minimize environmental footprints, such as reduced water usage or improved waste recycling we could further demonstrate that we are in line with our core values. Rotomyne has already gained its reputation for innovation, through extensive research and developments we could further explore new way to carry out our operations.

Third-party certification

To further demonstrate that we are more than compliant with all applicable environmental related regulations, we can aim to seek certification from recognized environmental organizations, such as ISO 140001, environmental management system to validate our commitment to sustainable practices as it shows an unbiased opinion on our operations and give trustworthy perception to general public. An international accepted certification on our approach to environmental management would be a powerful tool to convince stakeholders on our commitment to environmental sustainability.

Transparency and reporting

Rotomyne can also regularly publish sustainability reports that detail our operations, impacts, and the steps taken to mitigate environmental damage so that it will enhance our positive image to all the stakeholders and also portray our commitment towards environmental impacts and maintaining sustainable practices. By addressing the protesters' concerns proactively and demonstrating genuine commitment to sustainability, we can work towards alleviating tensions and fostering a more positive relationship with the community.

Example Answer for Task 2

Sub task 1 (a):

Concerns over drop in our share price

This situation presents overall significant challenges for Rotomyne, and it's crucial to address the issues thoughtfully. The 5% drop in share price is a significant indicator of investor sentiment and market perception, especially given the media coverage and escalating protests and there is a chance that it will further drop if this situation continues to go on.

On one hand, I do believe that we need not panic over this movement, as there are several things still within our control.

Short-term reaction

The 5% drop may be a temporary reaction to current events rather than a reflection of the company's long-term fundamentals. Share prices are generally reactive to information available in the market and this is likely a reflection of specific trouble of our operations is currently facing.

However, it is unlikely that this situation will persist forever or cause our operation in Rayalnd to cease. Once the situation stabilizes, the share price could recover.

Strong market demand for lithium still exists

Rotomyne operates in a robust lithium market, driven by increasing demand for electric vehicles and renewable energy. Regardless of what may happen with this operation, the overall global market is currently very reliant on our supply of Lithium as we are one of the four largest manufacturers of Lithium in the world. Demand will still exist, meaning business will continue and we will be in a position to keep making profits. This underlying demand may help stabilize the share price despite localized issues.

Proactive measures can be taken

Fines have yet to be paid and we have been given a grace period to rectify the present issues. This means we still have ample time to immediately implement both corrective measures for existing problems and also leverage this opportunity to implement proactive solutions for potential future issues pertaining to our environmental compliance in Rayland.

If Rotomyne takes swift action to address the environmental concerns and engages with stakeholders, we could mitigate negative impacts and restore investor confidence, leading to a potential rebound in share price.

However, there may be cause for us to give more concern over the share price drop, which I have outlined below.

Investor Confidence

The drop in share price reflects a loss of confidence among investors. A 5% decline can signal to the market that Rotomyne is facing serious operational and regulatory challenges. If investors perceive the company as unable to manage its environmental responsibilities, they may choose to divest, leading to further declines in share price.

This would put a lot of pressure on our management to appease the remaining shareholders, and also deter new investments in our stock, and may cause difficulties in matters like raising equity in the future and should be something that we need to be concerned about.

Regulatory scrutiny

The investigation into Rotomyne's environmental practices, particularly exceeding its carbon footprint, poses a risk of fines and penalties. Such financial liabilities can directly impact the company's profitability, leading to a further decline in share price as investors reassess the company's financial health.

Further drop in share price combined with regulatory scrutiny can trigger a growing lack of confidence in the management of Rotomyne and its ability to generate returns, and would increase the pressure the shareholders may exert on the Board for performance, hindering our operating freedom.

In conclusion, having considered all of the above factors, I am of the opinion that we need not greatly concern and panic over this share price movement, but treat it as a usual business issue and work towards the resolution of the existing problems.

Sub task 2 (b)

Local Community

The local community of Rayland involved in the protests are likely worried about environmental degradation, health impacts, and loss of livelihoods due to mining activities. Their demand for a reduction in operations highlights fears of irreversible damage. Further being exceeded the maximum permissible carbon footprint by 5%, it intensifies more concerns about Rotomyne's operations in Rayland and the communities will stand against if their livelihood feels threatened by the company's operations. Their concern over our operations will only increase with this news and would likely protest us even more passionately until we agree to their demands.

Managing local community concerns

We should try to engage in transparent dialogue, acknowledging their concerns, and establish a community advisory board. Their main demand for us to scale down our operations by 30% may be unreasonable, but that is not to say we cannot negotiate a middle ground which still allows us to perform close to our capacity while still being compliant with the regulations and the demands of the community. We should also try to showcase our sustainability initiatives to the local community and seek their support for those activities while considering environmental impact assessments and collaborate on sustainable practices that minimize disruption.

Environmental regulatory bodies

The government agencies that typically focus on environmental preservation, advocating for stricter regulations and changes in mining practices to protect ecosystems are another key stakeholder group that are likely to be involved in this matter. As it has been established that Rotomyne is currently exceeding the permitted carbon footprint limits, they will be concerned on how we plan on rectifying the environmental impact of our operations and how quickly we will be able to implement it before they would have to impose fines on us and further hinder our operations.

Managing environmental regulatory bodies

The first step in managing this stakeholder would be for us to [internally identify the root cause of such a non-compliance and proceed to rectify it](#). We may have to invest in improved technology or processes, or even scale back on our operations as per the demand of the protest groups, just enough to return under the threshold of the permitted carbon footprint enough.

However, considering our approach to go beyond what is expected of us in terms of compliance, we may have to [implement gradual changes in the plant and operations in Rayland to be more compliant with the regulations](#). If this is not achievable in the short term, we could also consider carbon trading as a solution for this issue where we would purchase carbon credits from a seller, [effectively increasing our emission limit](#) (while simultaneously lowering that of the sellers) until we are able to implement a more long-term solution.

Sub task 2 (c)

Difficulties in determining the extent of reputational damage

[Complexity of stakeholder perceptions](#)

Reputational damage is often influenced by the [perceptions of various stakeholders, including customers, investors, regulators, and the local community](#). Each group may have [different priorities](#) and concerns regarding Rotomyne's environmental practices. For instance, while investors may focus on [financial implications and regulatory compliance](#), local communities may be more concerned about [environmental impacts and health risks](#). This diversity in stakeholder perspectives makes it challenging to quantify the overall reputational damage, as different groups may react differently to the same incident.

[Long-term vs. Short-term impact](#)

The immediate fallout from the incident, such as a drop in share price, may not fully capture the long-term reputational damage that could arise. For example, [if Rotomyne fails to address the environmental concerns effectively, it may face ongoing scrutiny and negative publicity](#), which could erode trust over time. This long-term impact may not be immediately visible in financial metrics or market reactions, complicating efforts to assess the full extent of reputational damage.

Additionally, the time it takes for reputational recovery can vary significantly, making it difficult to [predict how long the negative effects will last](#).

[Market dynamics and competitor actions](#)

The lithium market is characterized by [significant competition and volatility](#). Changes in market dynamics, such as shifts in demand for lithium or actions taken by competitors, can influence how Rotomyne's reputation is perceived. For instance, if competitors capitalize on Rotomyne's environmental issues by promoting their own sustainable practices, this could exacerbate the reputational damage.

Conversely, if the market demand for lithium remains strong, it may mitigate some of the negative perceptions. This interplay between [market conditions and competitor actions](#) adds [another layer of complexity to assessing reputational damage](#), as it can be difficult to isolate the impact of the incident from broader market trends.

Example Answer for Task 3

Sub task 1 (a):

Responsibility of board of directors

I have listed a few reasons to support the argument that the board of directors should take the responsibility for the failures reported.

Oversight duty

The Board has a fiduciary duty to ensure that all operations comply with legal and environmental standards. The failure to monitor internal controls indicates a lapse in this responsibility. As Rotomyne operates in six different countries they should have a responsibility monitor those standards on a periodic basis by even appointing necessary people reporting to them.

Strategic direction

The Board is responsible for setting the strategic priorities, including sustainability and environmental compliance. Failing to prioritize these areas can lead to significant operational and reputational risks. We have a well experience board specialized in various aspects and the board should always make decisions basing the company's values which specifically mentioned that we act ethically and sustainable manner.

Accountability culture

Acknowledging responsibility fosters a culture of accountability and encourages the Board to be more vigilant in oversight, enhancing overall governance. As previously mentioned, board should appoint relevant responsibilities to operational managers in each country and should create an environment where individuals feel responsible for their actions and are encouraged to take ownership of their work.

However, there may be several arguments that the board might claim they should not be held responsible because of the following reasons.

Operational control

The Board may argue that day-to-day operations and maintenance decisions are the responsibility of local management and operational staff, not the Board. They may claim that their responsibility is to make strategic decisions and not to oversee the operational matters and they will pass it down to middle management.

Lack of direct involvement

If the Board was not directly informed of the issues in a timely manner, they might argue that they could not be held accountable for decisions made at the operational level. If the relevant people in charge brought it to their attention, then the board could have got involved to it.

In conclusion, nn my opinion regardless of the above two points, this a serious issue that the BOD should not be ignoring even if it is an operational matter. As it impacts the company as a whole the board of directors are responsible to address and take actions on these failures.

Sub task 3 (b)

Internal controls for our plants

Regular maintenance scheduling and tracking system

Rotomyne can implement a robust maintenance scheduling and tracking system that ensures all machinery undergoes regular maintenance checks as per established timelines. This system should include automated reminders for upcoming maintenance, detailed logs of completed maintenance, and a checklist of required tasks. By ensuring that maintenance is performed consistently and documented thoroughly, the company can prevent machinery from depreciating to the point where it negatively impacts operational efficiency and environmental compliance. This proactive approach will help identify potential issues before they escalate, thereby reducing the risk of exceeding permissible carbon footprints.

Dual reporting system

We can begin a system where major problems reported to the head office will be escalated to an NED in addition to the corresponding Executive director. With such a control, major concerns such as the one raised and ignored will be examined twice and at least start a conversation among head management on whether or not action should be taken, which increases accountability as well as deters issues like this from taking place again.

Environmental impact assessment (EIA) protocol

We can establish a protocol for conducting regular environmental impact assessments (EIAs) for all operational processes. This protocol should require that any changes in machinery efficiency or operational practices be evaluated for their potential environmental impact before implementation. By integrating EIAs into the decision-making process, the company can ensure that any operational changes are assessed for compliance with environmental standards. This will foster a culture of accountability and awareness regarding environmental responsibilities, helping to prevent oversights that could lead to regulatory breaches. In the event of non-compliance in any field, as the protocol will be followed, we can take the necessary corrective action before any issues are to arise.

Internal audit and compliance review mechanism

We can establish a dedicated internal audit team responsible for conducting regular compliance reviews and audits of all operational facilities. This team should assess adherence to environmental regulations, internal controls, and maintenance protocols. Regular audits will provide an independent assessment of compliance and operational effectiveness, allowing the company to identify weaknesses in internal controls and address them proactively. This oversight will help ensure that environmental responsibilities are taken seriously and that any deviations from standards are corrected promptly.

Sub task 3 (c)

Arguments for updating our risk register

Identification of new risks

The recent findings regarding the exceedance of the carbon footprint and the associated machinery inefficiencies highlight new risks that were not previously accounted for in the risk register. These include operational risks related to equipment maintenance and environmental compliance risks that could lead to regulatory penalties or reputational

damage. By updating the risk register to include these new risks, the company can ensure that it is adequately prepared to manage and mitigate them moving forward.

The internal audit revealed that machinery depreciation and inadequate maintenance checks directly contributed to the environmental compliance issue. This indicates a gap in the existing risk management framework, necessitating an update to reflect these operational vulnerabilities and their potential impact on the company's reputation and financial performance.

Increased regulatory scrutiny

Given the recent compliance issues, there is a heightened risk of increased scrutiny from regulators and stakeholders. This could lead to more stringent regulations or oversight, which should be reflected in the risk register to ensure that the company is prepared for potential changes in the regulatory landscape.

Rotomyne's failure to maintain compliance with environmental standards could attract regulatory penalties and increased oversight. By updating the risk register to include this heightened scrutiny, Rotomyne can proactively develop strategies to address potential regulatory changes and mitigate associated risks.

Arguments against updating our risk register

Existing controls may be sufficient

The company may argue that the current risk register already includes categories for operational risks and environmental compliance, and that the issues identified are isolated incidents rather than systemic problems. If the existing controls are deemed sufficient to manage these risks, an update may not be necessary.

If Rotomyne can demonstrate that the issues were due to specific lapses in maintenance scheduling and communication rather than a fundamental flaw in the risk management framework, it may be more prudent to focus on improving internal processes rather than overhauling the risk register. This approach allows the company to address the immediate concerns without unnecessary administrative changes.

Focus on immediate remediation

Rotomyne may instead prioritize immediate remediation efforts over updating the risk register, arguing that the focus should be on rectifying the identified issues rather than on administrative updates. This could involve implementing the suggested internal controls and ensuring compliance rather than revising documentation. By concentrating on immediate corrective actions, such as enhancing maintenance protocols and improving communication, the company can address the root causes of the compliance issue more effectively.

This pragmatic approach may be seen as more beneficial than updating the risk register, which could divert attention and resources from urgent operational improvements.

In conclusion, I advise that we should update the risk register as there are always new risks we need to be aware of and manage to ensure the successful continuation of business activities with as little disruption as possible.